

which such profits are applied to *reduce operating expenses*, is bizarre to say the least.

The sale by the New York, Chicago, and St. Louis Railroad Company, through a subsidiary, of its holdings of Pere Marquette stock in 1929 gave rise later to an even more extraordinary form of bookkeeping manipulation. We shall describe these transactions in connection with our treatment of items involving nonconsolidated subsidiaries. During 1931 F.W. Woolworth Company included in its income a profit of nearly \$10,000,000 on the sale of a part interest in its British subsidiary. The effect of this inclusion was to make the per-share earnings appear larger than any previous year, when in fact they had experienced a recession. It is somewhat surprising to note that in the same year the company charged against *surplus* an additional tax accrual of \$2,000,000 which seemed to be closely related to the special profit included in *income*.

Reduction in the market value of securities should be considered as a nonrecurring item in the same way as losses from the sale of such securities. The same would be true of shrinkage in the value of foreign exchange. In most cases corporations charge such write-downs, when made, against surplus. The General Motors report for 1931 included both such adjustments, totaling \$20,575,000 as deductions from *income*, but was careful to designate them as "extraordinary and nonrecurring losses."

Methods Used by Investment Trusts in Reporting Sale of Marketable Securities. Investment-trust statements raise special questions with respect to the treatment of profits or losses realized from the sale of securities and changes in security values. Prior to 1930 most of these companies reported profits from the sale of securities as part of their regular income, but they showed the appreciation on *unsold* securities in the form of a memorandum or footnote to the balance sheet. But when large losses were taken in 1930 and subsequently, they were shown in most cases not in the income account but as charges against capital, surplus, or reserves. The *unrealized* depreciation was still recorded by most companies in the form of an explanatory comment on the balance sheet, which continued to carry the securities owned at original cost. A minority of investment trusts reduced the carrying price of their portfolio to the market by means of charges against capital and surplus.

It may logically be contended that, since dealing in securities is an integral part of the investment-trust business, the results from sales and